

Currency fluctuations are a matter of supply and demand and these depend on macro-economic factors that are beyond anyone's control. It largely depends on different interest rates and inflation rates of the two countries. Understanding these calculations and currency valuations is beyond the scope of this book.

As a result, we will deal with currencies using the Systematic Transfer Plan. We will have a systematic plan for currencies where we transfer currencies over an extended period. This way, neither do we buy it at a really expensive price and nor at a cheap price. We switch between the currencies at the average valuation.

We will avoid bulk exchange between currencies unless and until it becomes a compulsion. We will transfer equal amounts every month or every quarter via STP so that we make the exchange at average valuations.

